



HIGHLANDS
RESIDENTIAL MORTGAGE

Certification of Appraiser Independence

Borrower Name: Bradley Wall
Property Address: 404 Debanne Rd Mc Leansville NC 27301
Loan number: 8161250988
Date: 2023-09-28

The Lender certifies that the above referenced appraisal has been completed in compliance with all current appraisal independence requirements as defined by the Dodd-Frank Wall Street Reform and Consumer Protection Act, the Interagency Appraisal and Evaluation Guidelines, Fannie Mae, Freddie Mac and the Federal Housing Administration, in strict adherence to our non-influence policy and process:

- No employee, director, officer or agent of the lender or any other third party acting as joint venture partner, independent contractor, appraisal company, appraisal management company or partner on behalf of the lender has influenced or attempted to influence the development, reporting, result, or review of the appraisal in any manner.
- The Lender/Client named on the appraisal report submitted the appraisal order through a secure self-managed appraisal software platform, or through approved and compliant 3rd party integration.
- Appraiser selection was performed by a non-compensated member of the Lender. Appraiser selection was performed utilizing a selection methodology of management-approved policies based on the location of the subject property, appraiser availability and historical quality and performance metrics.
- The appraiser's compensation was not in any way dependent on the value arrived at or the closing of the loan. The appraiser was compensated directly by the Lender and not by a Lender staff member that receives compensation based on loan sales.
- The terms and conditions of the engagement contract between the Lender and the appraiser prohibit the appraiser from inappropriate communication with the Lender origination staff or attempting to obtain value/loan information from the borrower/property owner.
- No estimate regarding the Subject Property's value, proposed loan amount or proposed loan-to-value ratio was provided or communicated by the Lender to the appraiser.
- For all transactions: By proper use of a secure self-managed appraisal software platform, the Lender's loan production staff is unaware of the identity of the appraiser until the final appraisal report is delivered. Likewise the appraiser is provided with only the Lender's company name and address for inclusion in the appraisal report and is never provided with the identity or contact information of the originator of the loan. For purchase transactions, the purchase agreement was provided to the appraiser as required by USPAP Standards Rule 1-5(a).
- All communication between the selected appraiser and The Lender was conducted through the Lender's Appraisal Department. The Lender is unaware of any communication to the appraiser for this appraisal assignment made by anyone that is in violation of the terms of current Appraiser Independence Requirements.

APPRAISAL OF REAL PROPERTY

LOCATED AT

404 Debanne Rd
Mc Leansville, NC 27301
LOT#34 SEC 1 PB 28-71 CARLANN ESTATES

FOR

Highlands Residential Mortgage
950 W. Bethany Drive, Suite 800
Allen, TX 75013

OPINION OF VALUE

\$295,000

AS OF

09/28/2023

BY

Chelsea E. Polk
Taylor & Associates Appraisers, Inc.
PO Box 38426
Greensboro, NC 27438-8426
(336) 282-8088 x101
chelsea@taylorappraisersnc.com

Borrower	Bradley Wall	File No.	230197CP
Property Address	404 Debanne Rd		
City	Mc Leansville	County	Guilford
		State	NC
		Zip Code	27301
Lender/Client	Highlands Residential Mortgage		

APPRAISAL AND REPORT IDENTIFICATION

This Report is one of the following types:

☒ Appraisal Report

(A written report prepared under Standards Rule 2-2(a) , pursuant to the Scope of Work, as disclosed elsewhere in this report.)

☐ Restricted Appraisal Report

(A written report prepared under Standards Rule 2-2(b) , pursuant to the Scope of Work, as disclosed elsewhere in this report, restricted to the stated intended use only by the specified client and any other named intended user(s).)

Comments on Standards Rule 2-3

I certify that, to the best of my knowledge and belief:

- The statements of fact contained in this report are true and correct.
- The reported analyses, opinions, and conclusions are limited only by the reported assumptions and limiting conditions and are my personal, impartial, and unbiased professional analyses, opinions, and conclusions.
- Unless otherwise indicated, I have no present or prospective interest in the property that is the subject of this report and no personal interest with respect to the parties involved.
- Unless otherwise indicated, I have performed no services, as an appraiser or in any other capacity, regarding the property that is the subject of this report within the three-year period immediately preceding acceptance of this assignment.
- I have no bias with respect to the property that is the subject of this report or the parties involved with this assignment.
- My engagement in this assignment was not contingent upon developing or reporting predetermined results.
- My compensation for completing this assignment is not contingent upon the development or reporting of a predetermined value or direction in value that favors the cause of the client, the amount of the value opinion, the attainment of a stipulated result, or the occurrence of a subsequent event directly related to the intended use of this appraisal.
- My analyses, opinions, and conclusions were developed, and this report has been prepared, in conformity with the Uniform Standards of Professional Appraisal Practice that were in effect at the time this report was prepared.
- Unless otherwise indicated, I have made a personal inspection of the property that is the subject of this report.
- Unless otherwise indicated, no one provided significant real property appraisal assistance to the person(s) signing this certification (if there are exceptions, the name of each individual providing significant real property appraisal assistance is stated elsewhere in this report).

Reasonable Exposure Time

(USPAP defines Exposure Time as the estimated length of time that the property interest being appraised would have been offered on the market prior to the hypothetical consummation of a sale at market value on the effective date of the appraisal.)

My Opinion of Reasonable Exposure Time for the subject property at the market value stated in this report is: 0-90 days

Comments on Appraisal and Report Identification

Note any USPAP-related issues requiring disclosure and any state mandated requirements:

This appraisal has been electronically transmitted to the client. The report has been digitally signed/sealed by the appraiser and its contents locked/secured by the appraiser prior to transmittal.

APPRAISER:

Signature: 

Name: Chelsea E. Polk

State Certification #: A8079

or State License #: _____

State: NC Expiration Date of Certification or License: 06/30/2024

Date of Signature and Report: 10/03/2023

Effective Date of Appraisal: 09/28/2023

Inspection of Subject: ☐ None ☒ Interior and Exterior ☐ Exterior-Only

Date of Inspection (if applicable): 09/28/2023



SUPERVISORY or CO-APPRAISER (if applicable):

Signature: _____

Name: _____

State Certification #: _____

or State License #: _____

State: _____ Expiration Date of Certification or License: _____

Date of Signature: _____

Inspection of Subject: ☐ None ☐ Interior and Exterior ☐ Exterior-Only

Date of Inspection (if applicable): _____

Uniform Residential Appraisal Report

8161250988
File # 230197CP

SUBJECT

CONTRACT

NEIGHBORHOOD

SITE

IMPROVEMENTS

The purpose of this summary appraisal report is to provide the lender/client with an accurate, and adequately supported, opinion of the market value of the subject property.

Property Address	404 Debanne Rd	City	Mc Leansville	State	NC	Zip Code	27301
Borrower	Bradley Wall	Owner of Public Record	Acorn Property Management LLC	County	Guilford		
Legal Description	LOT#34 SEC 1 PB 28-71 CARLANN ESTATES						
Assessor's Parcel #	119381	Tax Year	2023	R.E. Taxes \$	1,417		
Neighborhood Name	Carlann Estates	Map Reference	8804-28-1010	Census Tract	0153.02		
Occupant	☐ Owner ☐ Tenant ☒ Vacant	Special Assessments \$	0	☐ PUD	HOA \$	0	☐ per year ☐ per month
Property Rights Appraised	☒ Fee Simple ☐ Leasehold ☐ Other (describe)						
Assignment Type	☒ Purchase Transaction ☐ Refinance Transaction ☐ Other (describe)						
Lender/Client	Highlands Residential Mortgage	Address	950 W. Bethany Drive, Suite 800, Allen, TX 75013				
Is the subject property currently offered for sale or has it been offered for sale in the twelve months prior to the effective date of this appraisal? ☒ Yes ☐ No							
Report data source(s) used, offering price(s), and date(s). DOM 6;MLS#1119170;Listed on 09/19/2023 for \$295,000 with no reductions in price.							

I ☒ did ☐ did not analyze the contract for sale for the subject purchase transaction. Explain the results of the analysis of the contract for sale or why the analysis was not performed. Arms length sale;The subject is under contract for \$295,000. It appears to be an arms length transaction between two unrelated parties.

Contract Price \$	295,000	Date of Contract	09/25/2023	Is the property seller the owner of public record?	☒ Yes ☐ No	Data Source(s)	Public Records/Contract
Is there any financial assistance (loan charges, sale concessions, gift or downpayment assistance, etc.) to be paid by any party on behalf of the borrower? ☒ Yes ☐ No							
If Yes, report the total dollar amount and describe the items to be paid. \$8,850;;Seller agrees to pay up to \$8,850 towards Buyers expenses. No home warranty is to be provided by Seller.							

Note: Race and the racial composition of the neighborhood are not appraisal factors.

Neighborhood Characteristics		One-Unit Housing Trends		One-Unit Housing		Present Land Use %	
Location	☐ Urban ☒ Suburban ☐ Rural	Property Values	☐ Increasing ☒ Stable ☐ Declining	PRICE	AGE	One-Unit	50 %
Built-Up	☐ Over 75% ☒ 25-75% ☐ Under 25%	Demand/Supply	☒ Shortage ☐ In Balance ☐ Over Supply	\$ (000)	(yrs)	2-4 Unit	0 %
Growth	☐ Rapid ☒ Stable ☐ Slow	Marketing Time	☒ Under 3 mths ☐ 3-6 mths ☐ Over 6 mths	125	Low 0	Multi-Family	0 %
Neighborhood Boundaries		Neighborhood boundaries generally include Burlington Rd to the north, I-840 to the west, I-40 to the south, and Knox Road to the east.		500	High 100	Commercial	25 %
Neighborhood Description		The subject is located in the Carlann Estates subdivision in McLeansville in eastern Guilford County. The neighborhood is made up of a mixture of single family and agricultural uses with industrial uses present as well. Access is via I-40 to all supporting facilities. Other uses consist of places of worship, undeveloped land, agricultural, etc.		300	Pred. 40	Other	25 %
Market Conditions (including support for the above conclusions) The strong housing market slowed in the second quarter of 2023 due to rising mortgage interest rates which are currently above 7% for a 30 year fixed. The median sales price is up 1.3% but the number of pending sales is down 27.6% as compared to second quarter of 2022. There is only a 1.4 month supply of inventory indicating a shortage of supply.							

Dimensions	150.98'x195.54'x192.38'x199.67'	Area	33621 sf	Shape	Rectangular	View	N;Res;
Specific Zoning Classification	RS-40	Zoning Description	Single Family Residential; minimum 40,000 sf lot size				
Zoning Compliance	☐ Legal ☒ Legal Nonconforming (Grandfathered Use) ☐ No Zoning ☐ Illegal (describe)						
Is the highest and best use of subject property as improved (or as proposed per plans and specifications) the present use? ☒ Yes ☐ No If No, describe *See comment on page 3.							

Utilities	Public	Other (describe)	Public	Other (describe)	Off-site Improvements - Type	Public	Private
Electricity	☒		Water	☐	Street Asphalt	☒	☐
Gas	☐	None	Sanitary Sewer	☐	Alley None	☐	☐
FEMA Special Flood Hazard Area	☐ Yes ☒ No	FEMA Flood Zone	X	FEMA Map #	37081C8804J	FEMA Map Date	06/18/2007
Are the utilities and off-site improvements typical for the market area? ☒ Yes ☐ No If No, describe							
Are there any adverse site conditions or external factors (easements, encroachments, environmental conditions, land uses, etc.)? ☐ Yes ☒ No If Yes, describe							
The subject site slopes downwards from street grade. It is typical in size and rectangular in shape blending well with surrounding properties. Drainage appears adequate. No adverse easements or encroachments noted. Per MLS listing the detached building encroaches the neighbors property by a small amount and the neighbors fence encroaches by a small amount. This is not considered adverse. *See attached Survey.							

General Description		Foundation		Exterior Description		materials/condition		Interior		materials/condition	
Units	☒ One ☐ One with Accessory Unit	☐ Concrete Slab	☒ Crawl Space	Foundation Walls	Brick/Block/Good	Floors	Hdwds/Carpet/Gd				
# of Stories	1	☐ Full Basement	☒ Partial Basement	Exterior Walls	Brick/Good	Walls	DW/Paint/Good				
Type	☒ Det. ☐ Att. ☐ S-Det./End Unit	Basement Area 426 sq.ft.		Roof Surface	Arch.Shingles/New	Trim/Finish	Wood/Paint/Good				
	☒ Existing ☐ Proposed ☐ Under Const.	Basement Finish 0 %		Gutters & Downspouts	Aluminum/New	Bath Floor	Ceramic Tile/Good				
Design (Style)	Ranch	☒ Outside Entry/Exit ☐ Sump Pump		Window Type	DH/Vinyl/Good	Bath Wainscot	Ceramic Tile/FG/Gd				
Year Built	1980	Evidence of ☐ Infestation		Storm Sash/Insulated	Insulated/Good	Car Storage	☐ None				
Effective Age (Yrs)	15	☐ Dampness ☐ Settlement		Screens	None	☒ Driveway	# of Cars 2				
Attic	☐ None	Heating	☒ FWA ☐ HWBB ☐ Radiant	Amenities	☐ Woodstove(s) # 0	Driveway Surface	Gravel				
☐ Drop Stair	☐ Stairs	☐ Other	Fuel Electric	☒ Fireplace(s) # 1	☐ Fence None	☐ Garage	# of Cars 0				
☐ Floor	☒ Scuttle	Cooling ☒ Central Air Conditioning		☒ Patio/Deck Deck	☒ Porch Front	☒ Carport	# of Cars 2				
☐ Finished	☐ Heated	☐ Individual ☐ Other		☐ Pool None	☒ Other Det. Bldg.	☒ Att.	☐ Det. ☐ Built-in				
Appliances ☐ Refrigerator ☒ Range/Oven ☒ Dishwasher ☐ Disposal ☒ Microwave ☐ Washer/Dryer ☐ Other (describe)											
Finished area above grade contains: 6 Rooms 3 Bedrooms 2.0 Bath(s) 1,348 Square Feet of Gross Living Area Above Grade											
Additional features (special energy efficient items, etc.). Hardwoods, carpet, 8' ceilings, vaulted ceilings in living room, built ins, fireplace, unfinished basement, two car carport, exterior storage room, detached building, deck, etc.											
Describe the condition of the property (including needed repairs, deterioration, renovations, remodeling, etc.). C3;Kitchen-updated-timeframe											
unknown;Bathrooms-updated-timeframe unknown;The subject property was built in 1980 and has been adequately maintained. Kitchen offers wood cabinets, laminate countertops, hardwood floors, and black appliances. Bathrooms offer tile flooring and tile or fiberglass tub/shower surround. Roof and gutters were replaced in 2023. Age of HVAC is unknown. Additional updates include new trex deck, interior paint, and new storm door. Replacement windows have been installed. Overall, the dwelling is in good condition with only minor deferred maintenance noted.											
Are there any physical deficiencies or adverse conditions that affect the livability, soundness, or structural integrity of the property? ☐ Yes ☒ No If Yes, describe											
Does the property generally conform to the neighborhood (functional utility, style, condition, use, construction, etc.)? ☒ Yes ☐ No If No, describe											

Uniform Residential Appraisal Report

8161250988
File # 230197CP

SALES COMPARISON APPROACH

There are 1 comparable properties currently offered for sale in the subject neighborhood ranging in price from \$ 318,000 to \$ 318,000 .

There are 6 comparable sales in the subject neighborhood within the past twelve months ranging in sale price from \$ 201,000 to \$ 282,000 .

FEATURE	SUBJECT	COMPARABLE SALE # 1		COMPARABLE SALE # 2		COMPARABLE SALE # 3	
Address	404 Debanne Rd Mc Leansville, NC 27301	520 Carlann Valley Rd Mc Leansville, NC 27301		5309 Eastcrest Rd Mc Leansville, NC 27301		5504 Greenridge Dr Mc Leansville, NC 27301	
Proximity to Subject		0.18 miles S		0.27 miles SW		0.67 miles S	
Sale Price	\$ 295,000		\$ 282,000		\$ 265,000		\$ 315,500
Sale Price/Gross Liv. Area	\$ 218.84 sq.ft.	\$ 206.44 sq.ft.		\$ 189.29 sq.ft.		\$ 185.37 sq.ft.	
Data Source(s)		MLS#1102291;DOM 40		MLS#1090383;DOM 28		MLS#1085013;DOM 198	
Verification Source(s)		Public Records		Public Records		Public Records	
VALUE ADJUSTMENTS	DESCRIPTION	DESCRIPTION	+(-) \$ Adjustment	DESCRIPTION	+(-) \$ Adjustment	DESCRIPTION	+(-) \$ Adjustment
Sales or Financing Concessions		ArmLth VA;645		ArmLth VA;0		ArmLth Conv;500	
Date of Sale/Time		s07/23;c06/23		s01/23;c12/22		s06/23;c04/23	
Location	N;Res;	N;Res;		N;Res;		N;Res;	
Leasehold/Fee Simple	Fee Simple	Fee Simple		Fee Simple		Fee Simple	
Site	33621 sf	22651 sf	0	33977 sf	0	1.25 ac	0
View	N;Res;	N;Res;		N;Res;		N;Res;	
Design (Style)	DT1;Ranch	DT1;Ranch		DT1;Ranch		DT2;Traditional	0
Quality of Construction	Q4	Q4		Q4		Q4	
Actual Age	43	62	0	60	0	46	0
Condition	C3	C3		C3		C3	+15,000
Above Grade	Total Bdrms. Baths	Total Bdrms. Baths		Total Bdrms. Baths		Total Bdrms. Baths	
Room Count	6 3 2.0	6 3 2.0		6 3 2.0		6 3 2.1	-3,000
Gross Living Area	1,348 sq.ft.	1,366 sq.ft.	0	1,400 sq.ft.	0	1,702 sq.ft.	-14,160
Basement & Finished Rooms Below Grade	426sf0sfwo	0sf	+6,390	0sf	+6,390	0sf	+6,390
Functional Utility	Average	Average		Average		Average	
Heating/Cooling	FWA/Central	FWA/Central		FWA/Central		FWA/Central	
Energy Efficient Items	Typical	Typical		Typical		Typical	
Garage/Carport	2cp2dw	1cp1dw	+3,500	1dw	+7,500	2ga2dw	-7,500
Porch/Patio/Deck	Front Porch	Front Porch		Front Porch		Front Porch	
Other	Deck	Deck		None	+3,000	Patio	0
Other	Det. Bldg./Stg.	Fence	+1,500	Det. Bldg.	0	Det. Bldgs.	-3,000
Fireplaces	1 - Fireplace	None	+1,500	1 - Fireplace		1 - Fireplace	
Net Adjustment (Total)		☒ + ☐ -	\$ 12,890	☒ + ☐ -	\$ 16,890	☐ + ☒ -	\$ -6,270
Adjusted Sale Price of Comparables		Net Adj. 4.6 % Gross Adj. 4.6 %	\$ 294,890	Net Adj. 6.4 % Gross Adj. 6.4 %	\$ 281,890	Net Adj. 2.0 % Gross Adj. 15.5 %	\$ 309,230
I ☒ did ☐ did not research the sale or transfer history of the subject property and comparable sales. If not, explain							
My research ☒ did ☐ did not reveal any prior sales or transfers of the subject property for the three years prior to the effective date of this appraisal.							
Data Source(s) Public records							
My research ☒ did ☐ did not reveal any prior sales or transfers of the comparable sales for the year prior to the date of sale of the comparable sale.							
Data Source(s) Public records							
Report the results of the research and analysis of the prior sale or transfer history of the subject property and comparable sales (report additional prior sales on page 3).							
ITEM	SUBJECT		COMPARABLE SALE #1		COMPARABLE SALE #2		COMPARABLE SALE #3
Date of Prior Sale/Transfer	05/16/2023		03/29/2023		07/14/2022		
Price of Prior Sale/Transfer	\$225,000		\$232,000		\$165,000		
Data Source(s)	Public Records		Public Records		Public Records		Public Records
Effective Date of Data Source(s)	10/02/2023		10/02/2023		10/02/2023		10/02/2023
Analysis of prior sale or transfer history of the subject property and comparable sales Prior sale for the subject and Comparables 1 and 2 as shown. Price difference reflects updating since previous sale. No prior sale for Comparable 3 for the year prior to the date of sale of the comparable sale.							
Summary of Sales Comparison Approach The appraiser researched sales 12 months prior to the effective date of this appraisal. All Sales are considered reasonably similar to the subject, all sales are located within the subject's neighborhood, and all would appeal to the same potential buyer. Seller concessions are recognized to Sales 1 and 3, however, considered typical in the market and no adjustments are necessary. A condition adjustment is made to Sale 3 for its inferior updating (i.e. flooring, paint, bathrooms, etc.). There are adjustments for the differences in bathroom count, square footage, and basements. Additionally, there are adjustments for the various amenities of each such as car storage, decks, fences, detached buildings, and fireplaces. In the final value estimate, no one sale is considered a better indicator of value than another and equal consideration is given all three sales in estimating the final value of \$295,000.							
Indicated Value by Sales Comparison Approach \$ 295,000							
Indicated Value by: Sales Comparison Approach \$ 295,000 Cost Approach (if developed) \$ 242,317 Income Approach (if developed) \$							
The sales comparison analysis is considered the most reliable indicator of value due to being most representative of the typical buyer. Even though the cost approach is lower it is still supportive of the concluded value. The Income approach was not relevant to this appraisal due to the neighborhood being mostly owner occupied.							
This appraisal is made ☒ "as is", ☐ subject to completion per plans and specifications on the basis of a hypothetical condition that the improvements have been completed, ☐ subject to the following repairs or alterations on the basis of a hypothetical condition that the repairs or alterations have been completed, or ☐ subject to the following required inspection based on the extraordinary assumption that the condition or deficiency does not require alteration or repair:							
Based on a complete visual inspection of the interior and exterior areas of the subject property, defined scope of work, statement of assumptions and limiting conditions, and appraiser's certification, my (our) opinion of the market value, as defined, of the real property that is the subject of this report is \$ 295,000 , as of 09/28/2023 , which is the date of inspection and the effective date of this appraisal.							

8161250988
File # 230197CP

***Utilities are on and appear to be working properly.**

***The relevant legal, physical, and economic factors were analyzed to the extent necessary and resulted in a conclusion that the current use of the subject property is the highest and best use. It is consistent with the neighborhood.**

*Even though the site in grandfathered into compliance, there are no adverse affects on marketability and could be rebuilt if destroyed.

PUD INFORMATION

Provide adequate information for the lender/client to replicate the below cost figures and calculations.

The site value is derived from the market from

the subject neighborhood as well as other similar neighborhoods surrounding the subject property with similar type settings and lots.

ESTIMATED ☐ REPRODUCTION OR ☒ REPLACEMENT COST NEW	OPINION OF SITE VALUE _____ =\$ 40,000			
Source of cost data Marshall & Swift	DWELLING	1,348	Sq.Ft. @ \$ 140.00	=\$ 188,720
Quality rating from cost service Good Effective date of cost data 2023	Basement	426	Sq.Ft. @ \$ 50.00	=\$ 21,300
Comments on Cost Approach (gross living area calculations, depreciation, etc.)	_____ =\$			
Inspection reveals no apparent functional or external obsolescence. "As Is" site improvements include the contributory value of the landscaping, walkways, driveway, detached building, well and septic system.	Garage/Carport	479	Sq.Ft. @ \$ 30.00	=\$ 14,370
Depreciation was calculated using the age-life method. The subject's effective age is estimated at 15 years and expected useful life is 80 years. Thus, depreciation has been estimated at 18.75%	Total Estimate of Cost-New _____			=\$ 224,390
	Less Physical	Functional	External	
	Depreciation 42,073			=\$ (42,073)
	Depreciated Cost of Improvements _____			=\$ 182,317
	"As-is" Value of Site Improvements _____			=\$ 20,000
Estimated Remaining Economic Life (HUD and VA only) 65 Years	INDICATED VALUE BY COST APPROACH _____ =\$ 242,317			

Estimated Monthly Market Rent \$

X Gross Rent Multiplier

= \$

Indicated Value by Income Approach

Summary of Income Approach (including support for market rent and GRM)

Is the developer/builder in control of the Homeowners' Association (HOA)? ☐ Yes ☐ No Unit type(s) ☐ Detached ☐ Attached

Provide the following information for PUDs ONLY if the developer/builder is in control of the HOA and the subject property is an attached dwelling unit.

Legal Name of Project

Total number of phases

Total number of units

Total number of units sold

Total number of units rented

Total number of units for sale

Data source(s)

Was the project created by the conversion of existing building(s) into a PUD?

☐ Yes☐ No

Does the project contain any multi-dwelling units? ☐ Yes ☐ No Data Source

☐ Yes☐ No

Data Source

Are the units, common elements, and recreation facilities complete? ☐ Yes ☐ No. If No, describe the status of completion.

☐ Yes☐ No

If No, describe the status of completion.

Are the common elements leased to or by the Homeowners' Association? ☐ Yes ☐ No If Yes, describe the rental terms and options.

☐ Yes☐ No

If Yes, describe the rental terms and options.

Describe common elements and recreational facilities.

Uniform Residential Appraisal Report

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This report form is designed to report an appraisal of a one-unit property or a one-unit property with an accessory unit; including a unit in a planned unit development (PUD). This report form is not designed to report an appraisal of a manufactured home or a unit in a condominium or cooperative project.

This appraisal report is subject to the following scope of work, intended use, intended user, definition of market value, statement of assumptions and limiting conditions, and certifications. Modifications, additions, or deletions to the intended use, intended user, definition of market value, or assumptions and limiting conditions are not permitted. The appraiser may expand the scope of work to include any additional research or analysis necessary based on the complexity of this appraisal assignment. Modifications or deletions to the certifications are also not permitted. However, additional certifications that do not constitute material alterations to this appraisal report, such as those required by law or those related to the appraiser's continuing education or membership in an appraisal organization, are permitted.

SCOPE OF WORK: The scope of work for this appraisal is defined by the complexity of this appraisal assignment and the reporting requirements of this appraisal report form, including the following definition of market value, statement of assumptions and limiting conditions, and certifications. The appraiser must, at a minimum: (1) perform a complete visual inspection of the interior and exterior areas of the subject property, (2) inspect the neighborhood, (3) inspect each of the comparable sales from at least the street, (4) research, verify, and analyze data from reliable public and/or private sources, and (5) report his or her analysis, opinions, and conclusions in this appraisal report.

INTENDED USE: The intended use of this appraisal report is for the lender/client to evaluate the property that is the subject of this appraisal for a mortgage finance transaction.

INTENDED USER: The intended user of this appraisal report is the lender/client.

DEFINITION OF MARKET VALUE: The most probable price which a property should bring in a competitive and open market under all conditions requisite to a fair sale, the buyer and seller, each acting prudently, knowledgeably and assuming the price is not affected by undue stimulus. Implicit in this definition is the consummation of a sale as of a specified date and the passing of title from seller to buyer under conditions whereby: (1) buyer and seller are typically motivated; (2) both parties are well informed or well advised, and each acting in what he or she considers his or her own best interest; (3) a reasonable time is allowed for exposure in the open market; (4) payment is made in terms of cash in U. S. dollars or in terms of financial arrangements comparable thereto; and (5) the price represents the normal consideration for the property sold unaffected by special or creative financing or sales concessions* granted by anyone associated with the sale.

*Adjustments to the comparables must be made for special or creative financing or sales concessions. No adjustments are necessary for those costs which are normally paid by sellers as a result of tradition or law in a market area; these costs are readily identifiable since the seller pays these costs in virtually all sales transactions. Special or creative financing adjustments can be made to the comparable property by comparisons to financing terms offered by a third party institutional lender that is not already involved in the property or transaction. Any adjustment should not be calculated on a mechanical dollar for dollar cost of the financing or concession but the dollar amount of any adjustment should approximate the market's reaction to the financing or concessions based on the appraiser's judgment.

STATEMENT OF ASSUMPTIONS AND LIMITING CONDITIONS: The appraiser's certification in this report is subject to the following assumptions and limiting conditions:

1. The appraiser will not be responsible for matters of a legal nature that affect either the property being appraised or the title to it, except for information that he or she became aware of during the research involved in performing this appraisal. The appraiser assumes that the title is good and marketable and will not render any opinions about the title.
2. The appraiser has provided a sketch in this appraisal report to show the approximate dimensions of the improvements. The sketch is included only to assist the reader in visualizing the property and understanding the appraiser's determination of its size.
3. The appraiser has examined the available flood maps that are provided by the Federal Emergency Management Agency (or other data sources) and has noted in this appraisal report whether any portion of the subject site is located in an identified Special Flood Hazard Area. Because the appraiser is not a surveyor, he or she makes no guarantees, express or implied, regarding this determination.
4. The appraiser will not give testimony or appear in court because he or she made an appraisal of the property in question, unless specific arrangements to do so have been made beforehand, or as otherwise required by law.
5. The appraiser has noted in this appraisal report any adverse conditions (such as needed repairs, deterioration, the presence of hazardous wastes, toxic substances, etc.) observed during the inspection of the subject property or that he or she became aware of during the research involved in performing the appraisal. Unless otherwise stated in this appraisal report, the appraiser has no knowledge of any hidden or unapparent physical deficiencies or adverse conditions of the property (such as, but not limited to, needed repairs, deterioration, the presence of hazardous wastes, toxic substances, adverse environmental conditions, etc.) that would make the property less valuable, and has assumed that there are no such conditions and makes no guarantees or warranties, express or implied. The appraiser will not be responsible for any such conditions that do exist or for any engineering or testing that might be required to discover whether such conditions exist. Because the appraiser is not an expert in the field of environmental hazards, this appraisal report must not be considered as an environmental assessment of the property.
6. The appraiser has based his or her appraisal report and valuation conclusion for an appraisal that is subject to satisfactory completion, repairs, or alterations on the assumption that the completion, repairs, or alterations of the subject property will be performed in a professional manner.

Uniform Residential Appraisal Report

8161250988
File # 230197CP

APPRAISER'S CERTIFICATION: The Appraiser certifies and agrees that:

1. I have, at a minimum, developed and reported this appraisal in accordance with the scope of work requirements stated in this appraisal report.
2. I performed a complete visual inspection of the interior and exterior areas of the subject property. I reported the condition of the improvements in factual, specific terms. I identified and reported the physical deficiencies that could affect the livability, soundness, or structural integrity of the property.
3. I performed this appraisal in accordance with the requirements of the Uniform Standards of Professional Appraisal Practice that were adopted and promulgated by the Appraisal Standards Board of The Appraisal Foundation and that were in place at the time this appraisal report was prepared.
4. I developed my opinion of the market value of the real property that is the subject of this report based on the sales comparison approach to value. I have adequate comparable market data to develop a reliable sales comparison approach for this appraisal assignment. I further certify that I considered the cost and income approaches to value but did not develop them, unless otherwise indicated in this report.
5. I researched, verified, analyzed, and reported on any current agreement for sale for the subject property, any offering for sale of the subject property in the twelve months prior to the effective date of this appraisal, and the prior sales of the subject property for a minimum of three years prior to the effective date of this appraisal, unless otherwise indicated in this report.
6. I researched, verified, analyzed, and reported on the prior sales of the comparable sales for a minimum of one year prior to the date of sale of the comparable sale, unless otherwise indicated in this report.
7. I selected and used comparable sales that are locationally, physically, and functionally the most similar to the subject property.
8. I have not used comparable sales that were the result of combining a land sale with the contract purchase price of a home that has been built or will be built on the land.
9. I have reported adjustments to the comparable sales that reflect the market's reaction to the differences between the subject property and the comparable sales.
10. I verified, from a disinterested source, all information in this report that was provided by parties who have a financial interest in the sale or financing of the subject property.
11. I have knowledge and experience in appraising this type of property in this market area.
12. I am aware of, and have access to, the necessary and appropriate public and private data sources, such as multiple listing services, tax assessment records, public land records and other such data sources for the area in which the property is located.
13. I obtained the information, estimates, and opinions furnished by other parties and expressed in this appraisal report from reliable sources that I believe to be true and correct.
14. I have taken into consideration the factors that have an impact on value with respect to the subject neighborhood, subject property, and the proximity of the subject property to adverse influences in the development of my opinion of market value. I have noted in this appraisal report any adverse conditions (such as, but not limited to, needed repairs, deterioration, the presence of hazardous wastes, toxic substances, adverse environmental conditions, etc.) observed during the inspection of the subject property or that I became aware of during the research involved in performing this appraisal. I have considered these adverse conditions in my analysis of the property value, and have reported on the effect of the conditions on the value and marketability of the subject property.
15. I have not knowingly withheld any significant information from this appraisal report and, to the best of my knowledge, all statements and information in this appraisal report are true and correct.
16. I stated in this appraisal report my own personal, unbiased, and professional analysis, opinions, and conclusions, which are subject only to the assumptions and limiting conditions in this appraisal report.
17. I have no present or prospective interest in the property that is the subject of this report, and I have no present or prospective personal interest or bias with respect to the participants in the transaction. I did not base, either partially or completely, my analysis and/or opinion of market value in this appraisal report on the race, color, religion, sex, age, marital status, handicap, familial status, or national origin of either the prospective owners or occupants of the subject property or of the present owners or occupants of the properties in the vicinity of the subject property or on any other basis prohibited by law.
18. My employment and/or compensation for performing this appraisal or any future or anticipated appraisals was not conditioned on any agreement or understanding, written or otherwise, that I would report (or present analysis supporting) a predetermined specific value, a predetermined minimum value, a range or direction in value, a value that favors the cause of any party, or the attainment of a specific result or occurrence of a specific subsequent event (such as approval of a pending mortgage loan application).
19. I personally prepared all conclusions and opinions about the real estate that were set forth in this appraisal report. If I relied on significant real property appraisal assistance from any individual or individuals in the performance of this appraisal or the preparation of this appraisal report, I have named such individual(s) and disclosed the specific tasks performed in this appraisal report. I certify that any individual so named is qualified to perform the tasks. I have not authorized anyone to make a change to any item in this appraisal report; therefore, any change made to this appraisal is unauthorized and I will take no responsibility for it.
20. I identified the lender/client in this appraisal report who is the individual, organization, or agent for the organization that ordered and will receive this appraisal report.

Uniform Residential Appraisal Report

8161250988
File # 230197CP

21. The lender/client may disclose or distribute this appraisal report to: the borrower; another lender at the request of the borrower; the mortgagee or its successors and assigns; mortgage insurers; government sponsored enterprises; other secondary market participants; data collection or reporting services; professional appraisal organizations; any department, agency, or instrumentality of the United States; and any state, the District of Columbia, or other jurisdictions; without having to obtain the appraiser's or supervisory appraiser's (if applicable) consent. Such consent must be obtained before this appraisal report may be disclosed or distributed to any other party (including, but not limited to, the public through advertising, public relations, news, sales, or other media).

22. I am aware that any disclosure or distribution of this appraisal report by me or the lender/client may be subject to certain laws and regulations. Further, I am also subject to the provisions of the Uniform Standards of Professional Appraisal Practice that pertain to disclosure or distribution by me.

23. The borrower, another lender at the request of the borrower, the mortgagee or its successors and assigns, mortgage insurers, government sponsored enterprises, and other secondary market participants may rely on this appraisal report as part of any mortgage finance transaction that involves any one or more of these parties.

24. If this appraisal report was transmitted as an "electronic record" containing my "electronic signature," as those terms are defined in applicable federal and/or state laws (excluding audio and video recordings), or a facsimile transmission of this appraisal report containing a copy or representation of my signature, the appraisal report shall be as effective, enforceable and valid as if a paper version of this appraisal report were delivered containing my original hand written signature.

25. Any intentional or negligent misrepresentation(s) contained in this appraisal report may result in civil liability and/or criminal penalties including, but not limited to, fine or imprisonment or both under the provisions of Title 18, United States Code, Section 1001, et seq., or similar state laws.

SUPERVISORY APPRAISER'S CERTIFICATION: The Supervisory Appraiser certifies and agrees that:

1. I directly supervised the appraiser for this appraisal assignment, have read the appraisal report, and agree with the appraiser's analysis, opinions, statements, conclusions, and the appraiser's certification.
2. I accept full responsibility for the contents of this appraisal report including, but not limited to, the appraiser's analysis, opinions, statements, conclusions, and the appraiser's certification.
3. The appraiser identified in this appraisal report is either a sub-contractor or an employee of the supervisory appraiser (or the appraisal firm), is qualified to perform this appraisal, and is acceptable to perform this appraisal under the applicable state law.
4. This appraisal report complies with the Uniform Standards of Professional Appraisal Practice that were adopted and promulgated by the Appraisal Standards Board of The Appraisal Foundation and that were in place at the time this appraisal report was prepared.
5. If this appraisal report was transmitted as an "electronic record" containing my "electronic signature," as those terms are defined in applicable federal and/or state laws (excluding audio and video recordings), or a facsimile transmission of this appraisal report containing a copy or representation of my signature, the appraisal report shall be as effective, enforceable and valid as if a paper version of this appraisal report were delivered containing my original hand written signature.

APPRAISER

Signature 
Name Chelsea E. Polk
Company Name Taylor & Associates Appraisers, Inc.
Company Address PO Box 38426
Greensboro, NC 27438-8426
Telephone Number (336) 282-8088 x101
Email Address chelsea@taylorappraisersnc.com
Date of Signature and Report 10/03/2023
Effective Date of Appraisal 09/28/2023
State Certification # A8079
or State License # _____
or Other (describe) _____ State # _____
State NC
Expiration Date of Certification or License 06/30/2024

ADDRESS OF PROPERTY APPRAISED

404 Debanne Rd
Mc Leansville, NC 27301
APPRAISED VALUE OF SUBJECT PROPERTY \$ 295,000

LENDER/CLIENT

Name No AMC
Company Name Highlands Residential Mortgage
Company Address 950 W. Bethany Drive, Suite 800, Allen, TX
75013
Email Address _____

SUPERVISORY APPRAISER (ONLY IF REQUIRED)

Signature _____
Name _____
Company Name _____
Company Address _____
Telephone Number _____
Email Address _____
Date of Signature _____
State Certification # _____
or State License # _____
State _____
Expiration Date of Certification or License _____

SUBJECT PROPERTY

- ☐ Did not inspect subject property
☐ Did inspect exterior of subject property from street
Date of Inspection _____
☐ Did inspect interior and exterior of subject property
Date of Inspection _____

COMPARABLE SALES

- ☐ Did not inspect exterior of comparable sales from street
☐ Did inspect exterior of comparable sales from street
Date of Inspection _____

UNIFORM APPRAISAL DATASET (UAD) DEFINITIONS ADDENDUM

(Source: Fannie Mae UAD Appendix D: UAD Field-Specific Standardization Requirements)

Condition Ratings and Definitions

C1

The improvements have been recently constructed and have not been previously occupied. The entire structure and all components are new and the dwelling features no physical depreciation.

Note: Newly constructed improvements that feature recycled or previously used materials and/or components can be considered new dwellings provided that the dwelling is placed on a 100 percent new foundation and the recycled materials and the recycled components have been rehabilitated/remanufactured into like-new condition. Improvements that have not been previously occupied are not considered "new" if they have any significant physical depreciation (that is, newly constructed dwellings that have been vacant for an extended period of time without adequate maintenance or upkeep).

C2

The improvements feature no deferred maintenance, little or no physical depreciation, and require no repairs. Virtually all building components are new or have been recently repaired, refinished, or rehabilitated. All outdated components and finishes have been updated and/or replaced with components that meet current standards. Dwellings in this category are either almost new or have been recently completely renovated and are similar in condition to new construction.

Note: The improvements represent a relatively new property that is well maintained with no deferred maintenance and little or no physical depreciation, or an older property that has been recently completely renovated.

C3

The improvements are well maintained and feature limited physical depreciation due to normal wear and tear. Some components, but not every major building component, may be updated or recently rehabilitated. The structure has been well maintained.

Note: The improvement is in its first-cycle of replacing short-lived building components (appliances, floor coverings, HVAC, etc.) and is being well maintained. Its estimated effective age is less than its actual age. It also may reflect a property in which the majority of short-lived building components have been replaced but not to the level of a complete renovation.

C4

The improvements feature some minor deferred maintenance and physical deterioration due to normal wear and tear. The dwelling has been adequately maintained and requires only minimal repairs to building components/mechanical systems and cosmetic repairs. All major building components have been adequately maintained and are functionally adequate.

Note: The estimated effective age may be close to or equal to its actual age. It reflects a property in which some of the short-lived building components have been replaced, and some short-lived building components are at or near the end of their physical life expectancy; however, they still function adequately. Most minor repairs have been addressed on an ongoing basis resulting in an adequately maintained property.

C5

The improvements feature obvious deferred maintenance and are in need of some significant repairs. Some building components need repairs, rehabilitation, or updating. The functional utility and overall livability is somewhat diminished due to condition, but the dwelling remains useable and functional as a residence.

Note: Some significant repairs are needed to the improvements due to the lack of adequate maintenance. It reflects a property in which many of its short-lived building components are at the end of or have exceeded their physical life expectancy but remain functional.

C6

The improvements have substantial damage or deferred maintenance with deficiencies or defects that are severe enough to affect the safety, soundness, or structural integrity of the improvements. The improvements are in need of substantial repairs and rehabilitation, including many or most major components.

Note: Substantial repairs are needed to the improvements due to the lack of adequate maintenance or property damage. It reflects a property with conditions severe enough to affect the safety, soundness, or structural integrity of the improvements.

Quality Ratings and Definitions

Q1

Dwellings with this quality rating are usually unique structures that are individually designed by an architect for a specified user. Such residences typically are constructed from detailed architectural plans and specifications and feature an exceptionally high level of workmanship and exceptionally high-grade materials throughout the interior and exterior of the structure. The design features exceptionally high-quality exterior refinements and ornamentation, and exceptionally high-quality interior refinements. The workmanship, materials, and finishes throughout the dwelling are of exceptionally high quality.

Q2

Dwellings with this quality rating are often custom designed for construction on an individual property owner's site. However, dwellings in this quality grade are also found in high-quality tract developments featuring residence constructed from individual plans or from highly modified or upgraded plans. The design features detailed, high quality exterior ornamentation, high-quality interior refinements, and detail. The workmanship, materials, and finishes throughout the dwelling are generally of high or very high quality.

UNIFORM APPRAISAL DATASET (UAD) DEFINITIONS ADDENDUM
(Source: Fannie Mae UAD Appendix D: UAD Field-Specific Standardization Requirements)

Quality Ratings and Definitions (continued)

Q3

Dwellings with this quality rating are residences of higher quality built from individual or readily available designer plans in above-standard residential tract developments or on an individual property owner’s site. The design includes significant exterior ornamentation and interiors that are well finished. The workmanship exceeds acceptable standards and many materials and finishes throughout the dwelling have been upgraded from “stock” standards.

Q4

Dwellings with this quality rating meet or exceed the requirements of applicable building codes. Standard or modified standard building plans are utilized and the design includes adequate fenestration and some exterior ornamentation and interior refinements. Materials, workmanship, finish, and equipment are of stock or builder grade and may feature some upgrades.

Q5

Dwellings with this quality rating feature economy of construction and basic functionality as main considerations. Such dwellings feature a plain design using readily available or basic floor plans featuring minimal fenestration and basic finishes with minimal exterior ornamentation and limited interior detail. These dwellings meet minimum building codes and are constructed with inexpensive, stock materials with limited refinements and upgrades.

Q6

Dwellings with this quality rating are of basic quality and lower cost; some may not be suitable for year-round occupancy. Such dwellings are often built with simple plans or without plans, often utilizing the lowest quality building materials. Such dwellings are often built or expanded by persons who are professionally unskilled or possess only minimal construction skills. Electrical, plumbing, and other mechanical systems and equipment may be minimal or non-existent. Older dwellings may feature one or more substandard or non-conforming additions to the original structure

Definitions of Not Updated, Updated, and Remodeled

Not Updated

Little or no updating or modernization. This description includes, but is not limited to, new homes.
Residential properties of fifteen years of age or less often reflect an original condition with no updating, if no major components have been replaced or updated. Those over fifteen years of age are also considered not updated if the appliances, fixtures, and finishes are predominantly dated. An area that is 'Not Updated' may still be well maintained and fully functional, and this rating does not necessarily imply deferred maintenance or physical/functional deterioration.

Updated

The area of the home has been modified to meet current market expectations. These modifications are limited in terms of both scope and cost.
An updated area of the home should have an improved look and feel, or functional utility. Changes that constitute updates include refurbishment and/or replacing components to meet existing market expectations. Updates do not include significant alterations to the existing structure.

Remodeled

Significant finish and/or structural changes have been made that increase utility and appeal through complete replacement and/or expansion.
A remodeled area reflects fundamental changes that include multiple alterations. These alterations may include some or all of the following: replacement of a major component (cabinet(s), bathtub, or bathroom tile), relocation of plumbing/gas fixtures/appliances, significant structural alterations (relocating walls, and/or the addition of) square footage). This would include a complete gutting and rebuild.

Explanation of Bathroom Count

Three-quarter baths are counted as a full bath in all cases. Quarter baths (baths that feature only a toilet) are not included in the bathroom count. The number of full and half baths is reported by separating the two values using a period, where the full bath count is represented to the left of the period and the half bath count is represented to the right of the period.

Example:
3.2 indicates three full baths and two half baths.

UNIFORM APPRAISAL DATASET (UAD) DEFINITIONS ADDENDUM
(Source: Fannie Mae UAD Appendix D: UAD Field-Specific Standardization Requirements)

Abbreviations Used in Data Standardization Text

Abbreviation	Full Name	Fields Where This Abbreviation May Appear
A	Adverse	Location & View
ac	Acres	Area, Site
AdjPrk	Adjacent to Park	Location
AdjPwr	Adjacent to Power Lines	Location
Armlth	Arms Length Sale	Sale or Financing Concessions
AT	Attached Structure	Design (Style)
B	Beneficial	Location & View
ba	Bathroom(s)	Basement & Finished Rooms Below Grade
br	Bedroom	Basement & Finished Rooms Below Grade
BsyRd	Busy Road	Location
c	Contracted Date	Date of Sale/Time
Cash	Cash	Sale or Financing Concessions
Comm	Commercial Influence	Location
Conv	Conventional	Sale or Financing Concessions
cp	Carport	Garage/Carport
CrtOrd	Court Ordered Sale	Sale or Financing Concessions
CtySky	City View Skyline View	View
CtyStr	City Street View	View
cv	Covered	Garage/Carport
DOM	Days On Market	Data Sources
DT	Detached Structure	Design (Style)
dw	Driveway	Garage/Carport
e	Expiration Date	Date of Sale/Time
Estate	Estate Sale	Sale or Financing Concessions
FHA	Federal Housing Authority	Sale or Financing Concessions
g	Garage	Garage/Carport
ga	Attached Garage	Garage/Carport
gbi	Built-in Garage	Garage/Carport
gd	Detached Garage	Garage/Carport
GlfCse	Golf Course	Location
Glfvw	Golf Course View	View
GR	Garden	Design (Style)
HR	High Rise	Design (Style)
in	Interior Only Stairs	Basement & Finished Rooms Below Grade
Ind	Industrial	Location & View
Listing	Listing	Sale or Financing Concessions
Lndfl	Landfill	Location
LtdSght	Limited Sight	View
MR	Mid-rise	Design (Style)
Mtn	Mountain View	View
N	Neutral	Location & View
NonArm	Non-Arms Length Sale	Sale or Financing Concessions
o	Other	Basement & Finished Rooms Below Grade
O	Other	Design (Style)
op	Open	Garage/Carport
Prk	Park View	View
Pstrl	Pastoral View	View
PwrLn	Power Lines	View
PubTrn	Public Transportation	Location
Relo	Relocation Sale	Sale or Financing Concessions
REO	REO Sale	Sale or Financing Concessions
Res	Residential	Location & View
RH	USDA - Rural Housing	Sale or Financing Concessions
rr	Recreational (Rec) Room	Basement & Finished Rooms Below Grade
RT	Row or Townhouse	Design (Style)
s	Settlement Date	Date of Sale/Time
SD	Semi-detached Structure	Design (Style)
Short	Short Sale	Sale or Financing Concessions
sf	Square Feet	Area, Site, Basement
sqm	Square Meters	Area, Site
Unk	Unknown	Date of Sale/Time
VA	Veterans Administration	Sale or Financing Concessions
w	Withdrawn Date	Date of Sale/Time
wo	Walk Out Basement	Basement & Finished Rooms Below Grade
Woods	Woods View	View
Wtr	Water View	View
WtrFr	Water Frontage	Location
wu	Walk Up Basement	Basement & Finished Rooms Below Grade

Market Conditions Addendum to the Appraisal Report

8161250988
File No. 230197CP

MARKET RESEARCH & ANALYSIS

The purpose of this addendum is to provide the lender/client with a clear and accurate understanding of the market trends and conditions prevalent in the subject neighborhood. This is a required addendum for all appraisal reports with an effective date on or after April 1, 2009.

Property Address	404 Debanne Rd	City	Mc Leansville	State	NC	ZIP Code	27301
Borrower	Bradley Wall						

Instructions: The appraiser must use the information required on this form as the basis for his/her conclusions, and must provide support for those conclusions, regarding housing trends and overall market conditions as reported in the Neighborhood section of the appraisal report form. The appraiser must fill in all the information to the extent it is available and reliable and must provide analysis as indicated below. If any required data is unavailable or is considered unreliable, the appraiser must provide an explanation. It is recognized that not all data sources will be able to provide data for the shaded areas below; if it is available, however, the appraiser must include the data in the analysis. If data sources provide the required information as an average instead of the median, the appraiser should report the available figure and identify it as an average. Sales and listings must be properties that compete with the subject property, determined by applying the criteria that would be used by a prospective buyer of the subject property. The appraiser must explain any anomalies in the data, such as seasonal markets, new construction, foreclosures, etc.

Inventory Analysis	Prior 7-12 Months	Prior 4-6 Months	Current - 3 Months	Overall Trend		
Total # of Comparable Sales (Settled)	4	0	2	☐ Increasing	☒ Stable	☐ Declining
Absorption Rate (Total Sales/Months)	0.67	0.00	0.67	☐ Increasing	☒ Stable	☐ Declining
Total # of Comparable Active Listings	0	1	1	☐ Declining	☒ Stable	☐ Increasing
Months of Housing Supply (Total Listings/Ab.Rate)	0.00	-	1.50	☐ Declining	☒ Stable	☐ Increasing
Median Sale & List Price, DOM, Sale/List %	Prior 7-12 Months	Prior 4-6 Months	Current - 3 Months	Overall Trend		
Median Comparable Sale Price	\$245,000	-	\$248,500	☐ Increasing	☒ Stable	☐ Declining
Median Comparable Sales Days on Market	64	-	65	☐ Declining	☒ Stable	☐ Increasing
Median Comparable List Price	-	\$282,000	\$318,000	☐ Increasing	☒ Stable	☐ Declining
Median Comparable Listings Days on Market	-	75	10	☐ Declining	☒ Stable	☐ Increasing
Median Sale Price as % of List Price	99.02%	-	106.58%	☐ Increasing	☒ Stable	☐ Declining
Seller-(developer, builder, etc.)paid financial assistance prevalent?				☒ Yes	☐ No	
Explain in detail the seller concessions trends for the past 12 months (e.g., seller contributions increased from 3% to 5%, increasing use of buydowns, closing costs, condo fees, options, etc.). The Triad Multiple Listing Service indicated 3 of 6 (50.0%) of the closed sales in the market area between 09/28/2022 and 09/28/2023 contained seller concessions. Concessions ranged between \$645 and \$6,000, and the median concession was \$5,591. For 7-12 months prior, 1 of 4 transactions (25.0%) had concessions. For 4-6 months prior, no transactions had concessions reported. For the 3 months prior to the effective date, 2 of 2 transactions (100.0%) had concessions.						
Are foreclosure sales (REO sales) a factor in the market? ☐ Yes ☒ No If yes, explain (including the trends in listings and sales of foreclosed properties).						
Cite data sources for above information. The Market Conditions Addenda was completed with data from Triad Multiple Listing Service with an effective date of 09/28/2023.						
Summarize the above information as support for your conclusions in the Neighborhood section of the appraisal report form. If you used any additional information, such as an analysis of pending sales and/or expired and withdrawn listings, to formulate your conclusions, provide both an explanation and support for your conclusions.						
There have been only six comparable sales in the subject's neighborhood over the last 12 months. Therefore, there is insufficient data to reach any meaningful conclusions regarding trends in the market from this data. The overall trend indicators on the right of the above grid have been utilized, however, any indication of increasing, decreasing or stable trends is believed to be misleading.						

CONDO/CO-OP PROJECTS

If the subject is a unit in a condominium or cooperative project , complete the following: N/A Project Name: N/A

Subject Project Data	Prior 7-12 Months	Prior 4-6 Months	Current - 3 Months	Overall Trend		
Total # of Comparable Sales (Settled)				☐ Increasing	☐ Stable	☐ Declining
Absorption Rate (Total Sales/Months)				☐ Increasing	☐ Stable	☐ Declining
Total # of Active Comparable Listings				☐ Declining	☐ Stable	☐ Increasing
Months of Unit Supply (Total Listings/Ab.Rate)				☐ Declining	☐ Stable	☐ Increasing
Are foreclosure sales (REO sales) a factor in the project? ☐ Yes ☐ No If yes, indicate the number of REO listings and explain the trends in listings and sales of foreclosed properties.						
Summarize the above trends and address the impact on the subject unit and project. N/A						

APPRaiser

Signature

Appraiser Name Chelsea E. Polk

Company Name Taylor & Associates Appraisers, Inc.

Company Address PO Box 38426, Greensboro, NC 27438-8426

State License/Certification # A8079 State NC

Email Address chelsea@taylorappraisersnc.com

Signature

Supervisory Appraiser Name

Company Name

Company Address

State License/Certification #

State

Email Address

Freddie Mac Form 71 March 2009 Page 1 of 1 Fannie Mae Form 1004MC March 2009

Form 1004MC2 - "TOTAL" appraisal software by a la mode, inc. - 1-800-ALAMODE

Subject Photo Page

Borrower	Bradley Wall					
Property Address	404 Debanne Rd					
City	Mc Leansville	County	Guilford	State	NC	Zip Code 27301
Lender/Client	Highlands Residential Mortgage					



Subject Front

404 Debanne Rd



Subject Rear



Subject Street

Interior Photos

Borrower	Bradley Wall					
Property Address	404 Debanne Rd					
City	Mc Leansville	County	Guilford	State	NC	Zip Code 27301
Lender/Client	Highlands Residential Mortgage					



Detached Building



Detached Building - Interior



Exterior Storage Room



Laundry



Dining



Living Room

Interior Photos

Borrower	Bradley Wall					
Property Address	404 Debanne Rd					
City	Mc Leansville	County	Guilford	State	NC	Zip Code 27301
Lender/Client	Highlands Residential Mortgage					



Kitchen



Bedroom



Bedroom



Bathroom



Primary Bedroom



Primary Bathroom

Interior Photos

Borrower	Bradley Wall					
Property Address	404 Debanne Rd					
City	Mc Leansville	County	Guilford	State	NC	Zip Code 27301
Lender/Client	Highlands Residential Mortgage					



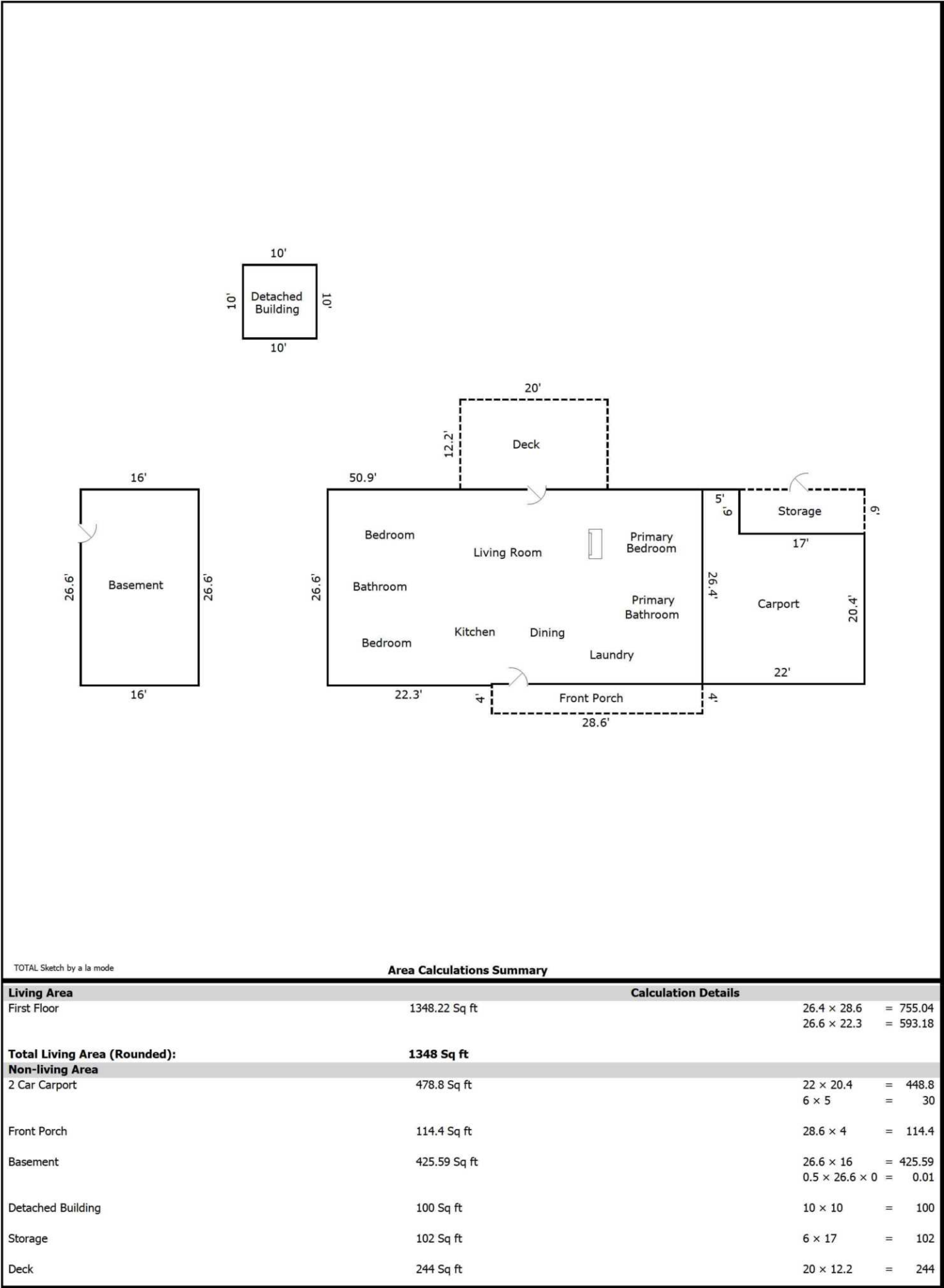
Primary Bathroom



Unfinished Basement

Building Sketch

Borrower	Bradley Wall				
Property Address	404 Debanne Rd				
City	Mc Leansville	County	Guilford	State	NC
				Zip Code	27301
Lender/Client	Highlands Residential Mortgage				



Aerial Photo



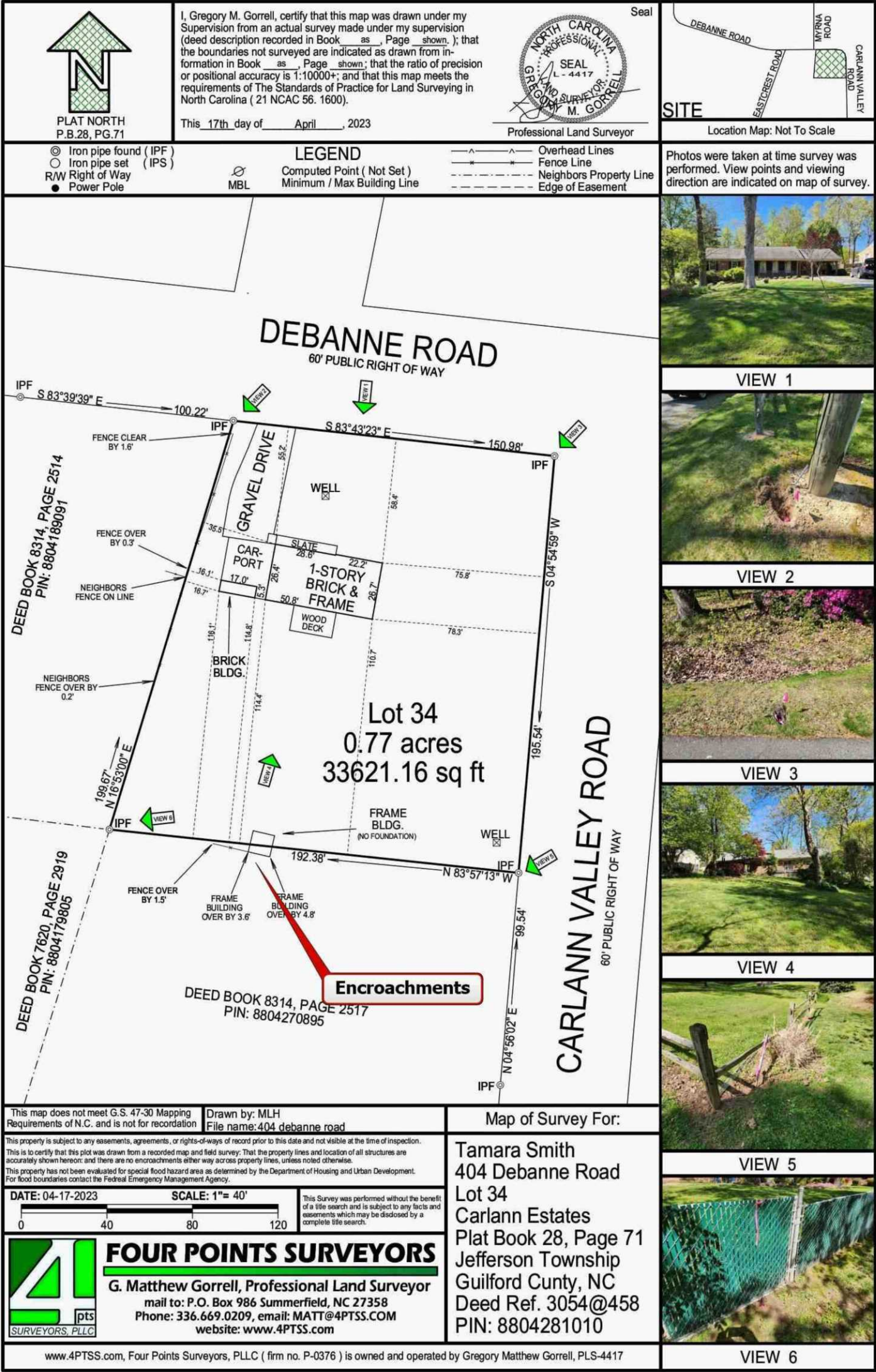
Disclaimer: While every effort is made to keep information provided over the internet accurate and up-to-date, Guilford County does not certify the authenticity or accuracy of such information. No warranties, express or implied, are provided for the records and/or mapping data herein, or for their use or interpretation by the User.

Map Scale
1 inch = 63 feet
9/27/2023

Plat Map



Survey



Comparable Photo Page

Borrower	Bradley Wall					
Property Address	404 Debanne Rd					
City	Mc Leansville	County	Guilford	State	NC	Zip Code 27301
Lender/Client	Highlands Residential Mortgage					



Comparable 1

520 Carlann Valley Rd



Comparable 2

5309 Eastcrest Rd

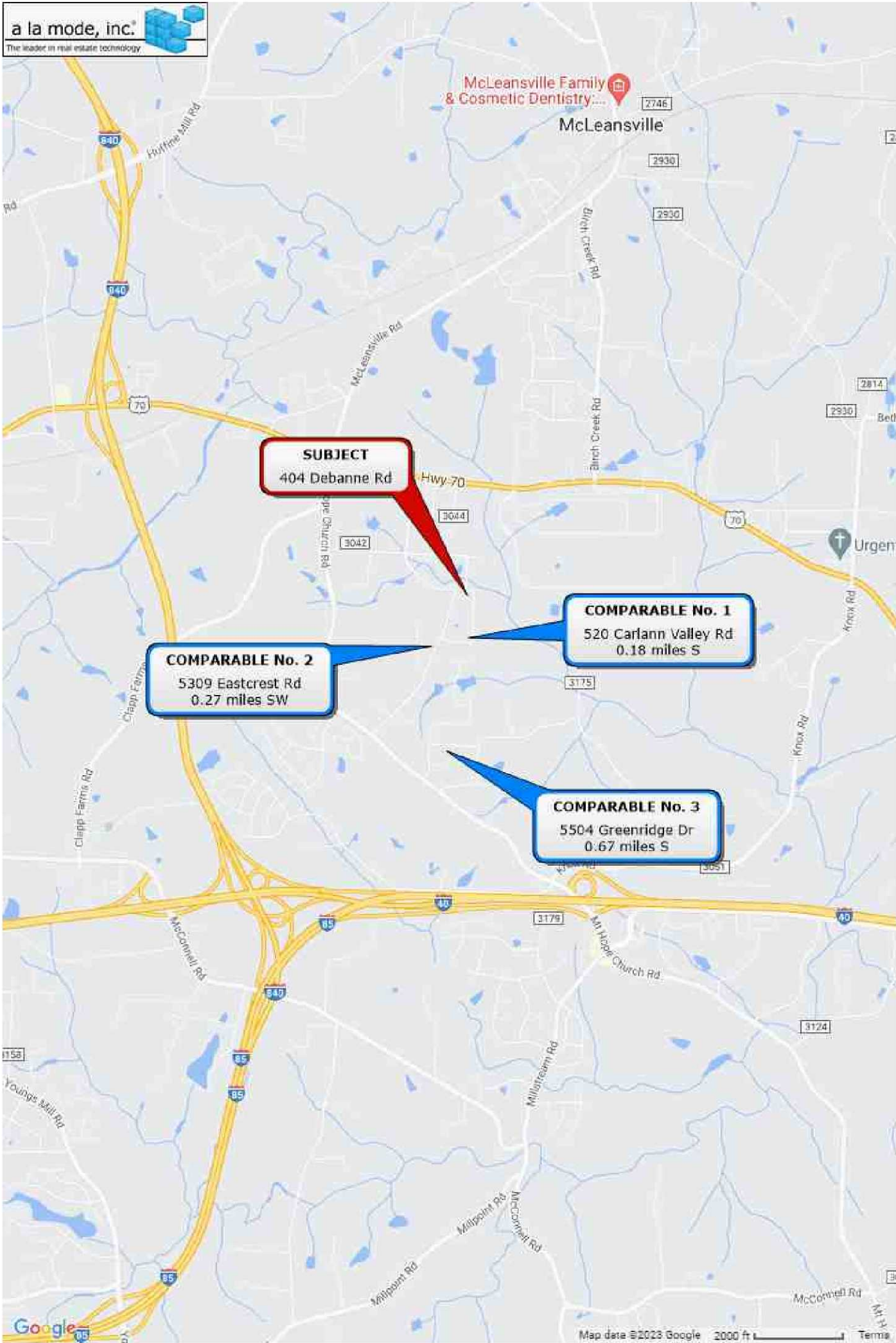


Comparable 3

5504 Greenridge Dr

Location Map

Borrower	Bradley Wall				
Property Address	404 Debanne Rd				
City	Mc Leansville	County	Guilford	State	NC Zip Code 27301
Lender/Client	Highlands Residential Mortgage				



Appraiser License



CERTIFICATE OF INSURANCE					
Producer: LIA ADMINISTRATORS & INSURANCE SERVICES P.O. Box 1319 Santa Barbara, CA 93102-1319			Issue Date: 12/12/2022 This Certificate is issued as a matter of information only and confers no rights upon the Certificate Holder. This Certificate does not amend, extend or alter the coverage afforded by the policy below.		
Insured: 172060 TAYLOR & ASSOCIATES APPRAISERS, INC. 409-D Parkway St Greensboro, NC 27401 Fax Number: 336-282-9484			<u>COMPANY AFFORDING COVERAGE</u> Aspen American Insurance Company  Authorized Representative		
This is to certify that the policy of insurance listed below has been issued to the Insured named above for the policy period indicated. Notwithstanding any requirement, term of condition of any contract or other document with respect to which this Certificate may be issued or may pertain, the insurance afforded by the policy described herein is subject to all the terms, exclusions and conditions of such policy. Limits shown may have been reduced by paid claims. DISCLAIMER: This certificate of insurance does not affirmatively or negatively amend, extend, or alter the coverage afforded by the insurance policy.					
TYPE OF INSURANCE	POLICY NUMBER	EFFECTIVE DATE	EXPIRATION DATE	LIMITS	
Professional Liability	AAI011178-01	12/14/2022	12/14/2023	Each Claim General Aggregate	\$ 1,000,000 \$ 1,000,000
Description of Operations/Locations/Special Items: Professional Services as defined in the policy					
Certificate Holder: TAYLOR & ASSOCIATES APPRAISERS, INC. 409-D Parkway St Greensboro, NC 27401			Cancellation: SHOULD ANY OF THE ABOVE DESCRIBED POLICIES BE CANCELLED BEFORE THE EXPIRATION DATE THEREOF, NOTICE WILL BE DELIVERED IN ACCORDANCE WITH THE POLICY PROVISIONS.		